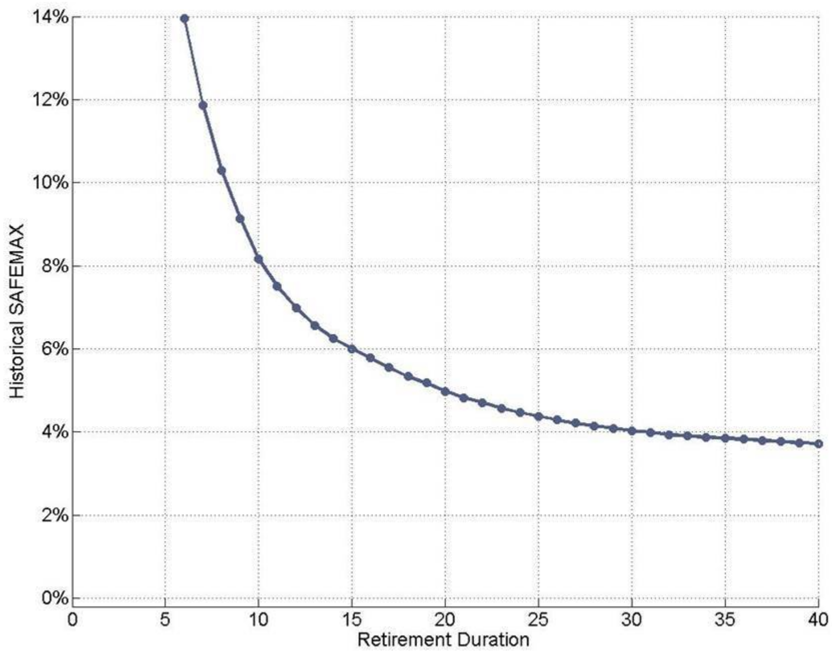

Next, Exhibit 5.23 shows the specific spending rates for a variety of asset allocations and retirement lengths. It also shows the withdrawal rates implied by the required minimum distribution (RMD) rates set by the IRS for tax-deferred retirement accounts. The requirements apply after age 70.5, but those with inherited IRAs may have to withdraw at earlier ages using these rules, so the government provides RMDs for younger ages as well. Including the RMD withdrawal rates in this exhibit allows us to compare historical SAFEMAXs and RMDs for different time horizons. These are lined up in the exhibit to imply a planning age of one hundred.

Exhibit 5.23

Varying SAFEMAXs by Retirement Duration and Asset Allocation

Inflation-Adjusted Spending

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds

Retirement Duration	100% Stocks	75% Stocks	50% Stocks	25% Stocks	0% Stocks	RMDs	Age
1	100	100	100	100	100	14.93	99
2	38.51	41.82	44.40	45.52	46.08	14.08	98
3	23.53	25.85	27.93	28.78	29.12	13.16	97